

activity escalated and, eventually, tulip bulbs were placed onto the local market exchanges.

The obsession with owning tulips trickled down to the Dutch middle class. People were selling everything they owned—including homes, livestock, and other essentials—so they could acquire tulips, based on the expectation that the bulbs' value would continue to grow. At the peak of the tulip frenzy, a single bulb would have sold for about the equivalent of several tons of grain, a major item of furniture, a team of oxen, or a breeding stock of pigs. Basically, consumers valued tulips about as highly as they valued pricey, indispensable, durable goods. By 1636, tulip bulbs had been established on the Amsterdam stock exchange, as well as exchanges in Rotterdam, Harlem, and other locations in Europe. They became such a prominent commodity that tulip notaries were hired to record transactions, and public laws and regulations developed to oversee the tulip trade. Can you imagine? Later that year, however, the first speculators began to liquidate their tulip holdings. Tulip prices weakened slowly at first and then plunged; within a month, the bulbs lost 90 percent of their value. Many investors, forced to default on their tulip contracts, incurred huge losses. Do we notice any parallels to the economic events of 1929 or 2000, or similar bubbles?

It wasn't until the mid-eighteenth-century onset of the classical period in economics, however, that people began to study the human side of economic decision making, which subsequently laid the groundwork for BFMI. At this time, the concept of utility was introduced to measure the satisfaction associated with consuming a good or a service. Scholars linked economic utility with human psychology and even morality, giving it a much broader meaning than it would take on later, during neoclassicism, when it survived chiefly as a principle underlying laws of supply and demand.

Many people think that the legendary *Wealth of Nations* (1776) was what made Adam Smith (Figure 2.1) famous; in fact, Smith's crowning composition focused far more on individual psychology than on production of wealth in markets. Published in 1759, *The Theory of Moral Sentiments* described the mental and emotional underpinnings of human interaction, including economic interaction. In Smith's time, some believed that people's behavior could be modeled in completely rational, almost mathematical terms. Others, like Smith, felt that each human was born possessing an intrinsic moral compass, a source of influence superseding externalities like logic or law. Smith argued that this "invisible hand" guided both social and economic conduct. The prospect of "perfectly rational" economic decision making never entered into Smith's analysis. Instead, even when addressing financial matters, *The Theory of Moral Sentiments* focused on elements like pride, shame, insecurity, and egotism: